

Islamic Microfinance: The Key to Financial Inclusion in North Africa

“Building justice, inclusion, and social welfare through Sharia-compliant finance”

Dr. Mohamed Ben Youssef

CIBAFI Former Secretary General – Lecturer at AP Business School

Member of the Editorial Board of the Global Islamic Economics Magazine

Financial exclusion remains one of the most persistent barriers to development in North Africa. Thousands of small businesses, informal entrepreneurs, and low-income families lack access to fair and affordable credit. Conventional microcredit programs, once heralded as a solution, often led to cycles of over-indebtedness, high interest burdens, and social disillusionment.

Islamic microfinance offers a different path. Rooted in principles of justice, risk-sharing, and social solidarity, it provides financial tools that are not only accessible but also aligned with the values of communities. By linking finance with **maqāṣid al-sharīʿa**, the higher objectives of Islamic law, Islamic microfinance can become a cornerstone of inclusive growth in North Africa.

Why Conventional Microcredit Has Failed Sometimes

Over the past two decades, conventional microcredit schemes spread across developing regions, including North Africa. The promise was simple: small loans would help families start businesses, smooth consumption, and climb out of poverty. But in practice, the outcomes often disappointed.

- **High interest rates:** Many microcredit institutions charged annual rates of 20 to 40%, creating unsustainable debt burdens.
- **Debt traps:** Without viable income streams, many borrowers took multiple loans, leading to defaults and financial distress.

- **Limited impact:** Studies across Africa and South Asia found little evidence that conventional microcredit significantly reduced poverty or improved long-term livelihoods.

Instead of empowerment, many borrowers felt trapped, precisely the opposite of the inclusion these programs were meant to foster.

The Promise of Islamic Microfinance

Islamic microfinance offers an alternative grounded in partnership, fairness, and community solidarity. Its key features make it better suited to North Africa's social and economic fabric:

1. **No Riba (interest):** Loans are provided through profit-sharing (mudarabah, musharakah) or cost-plus sale (murabaha), ensuring that financing is tied to real economic activity, not interest accrual.
2. **Risk-sharing:** Instead of placing the entire burden on the borrower, Islamic contracts share risk and reward between financier and entrepreneur.
3. **Social instruments:** Tools like zakat (almsgiving) and waqf (endowments) can be integrated to provide safety nets or subsidize financing for the poorest.
4. **Ethical orientation:** Investments are directed toward productive, halal, and socially beneficial activities, fostering community development rather than speculation.

By blending **finance with ethics**, Islamic microfinance avoids the predatory tendencies that undermined conventional microcredit.

Empowering Families and SMEs

In North Africa, where informal work dominates, micro and small enterprises form the backbone of employment. Yet these businesses often lack access to conventional bank financing. Islamic microfinance can:

- **Support women entrepreneurs:** Women in rural Tunisia, Morocco, and Egypt could access small partnership-based loans to expand craft, agriculture, or service businesses.
- **Help farmers:** Salam contracts (advance payment for crops) and mudarabah can finance agricultural production without burdening farmers with fixed-interest debt.
- **Strengthen SMEs:** Murabaha-based financing for equipment and inventory helps small businesses grow sustainably.

Such targeted interventions not only expand access but also build resilience and dignity among low-income families.

Case Study: Tunisia's First Steps in Islamic Microfinance

Tunisia has been at the forefront of experimenting with Islamic microfinance in North Africa. In 2012, **Zitouna Tamkeen** was launched as a pioneering Islamic microfinance institution. Unlike conventional lenders, Zitouna Tamkeen uses contracts such as **musharakah** (partnership) and **murabaha** (cost-plus financing) to support micro and small enterprises.

For example, rural women's cooperatives in central Tunisia have benefited from partnership-based financing to expand olive oil production and artisanal crafts. By avoiding interest-bearing loans and focusing on profit-sharing, these projects have created not only sustainable incomes but also stronger community solidarity.

While challenges remain, such as scaling up operations, ensuring sustainability, and creating regulatory clarity, Tunisia's early experience demonstrates that Islamic microfinance can serve as a **practical tool for poverty reduction and job creation**, rooted in the country's cultural and religious context.

Ethical Foundation

Islamic microfinance is not simply a financial innovation; it is a direct expression of the **maqāṣid al-sharī'a**, the higher objectives of Islamic law. These objectives include:

- **Justice (ʿadl)**: Ensuring fairness in financial relationships by prohibiting exploitation.
- **Inclusion (shumūl)**: Providing access to financial services for the marginalized.
- **Social welfare (maslaha)**: Promoting the well-being of individuals and society through ethical investments.
- **Preservation of wealth (ḥifẓ al-māl)**: Protecting assets and encouraging their productive use.

By aligning with these principles, Islamic microfinance becomes more than a financial tool; it becomes a mechanism for social transformation.

Building a Future for North Africa

To unlock the full potential of Islamic microfinance in North Africa, policymakers and institutions should:

- Develop **supportive legal frameworks** that recognize Islamic contracts.
- Encourage partnerships between **Islamic banks, microfinance institutions, and NGOs**.
- Create **capacity-building programs** to train Sharia scholars, financial professionals, and community leaders.
- Leverage **technology** (mobile banking, digital platforms) to reduce costs and expand reach.

Such measures would enable Islamic microfinance to scale, attract ethical investors, and integrate into national development strategies.

Conclusion

Islamic microfinance is not a luxury — it is a necessity. At a time when conventional microcredit has failed to deliver lasting change, North Africa needs a model that reflects its values and meets its people's needs. By combining financial inclusion with the ethical imperatives of **maqāṣid al-sharī'a**, Islamic microfinance can empower families, strengthen small businesses, and create a more just and resilient economy.

It is time for North Africa to see Islamic microfinance not as a niche, but as a **key driver of inclusive growth and social justice**.

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